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The Minister of VWS

P.O. Box 20350

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Date

December 14, 2023

Our reference

z2022-1785

Your letter dated

March 22, 2022

Contact person

Your reference

3329422-1025567-DMO

Subject

Advice regarding a draft amendment to the Implementation Decision Wmo 2015 and the Youth Act (processing responsibility of the Inlichtingenbureau)

Dear Mr. Kuipers,

In your letter dated March 22, 2022, the Authority for Personal Data (AP) was consulted based on the provisions of Article 36, fourth paragraph, of the General Data Protection Regulation (GDPR), regarding a draft for the amendment of the Implementation Decision Wmo 2015 and the Youth Act (hereinafter: the draft).

Background

The Inlichtingenbureau is a foundation that serves as an information hub for municipalities and other government agencies such as the Tax Authority, the UWV, the SVB, and the RDW. The Inlichtingenbureau operates within five domains: (1) Services for Work and Income, (2) Wmo and Jw, (3) Education, (4) Local Taxes, and (5) Debt Assistance. The Inlichtingenbureau was established as a private foundation with government tasks in 2001 at the initiative of the Ministry of SZW, in consultation with the VNG. Many information flows between municipalities and government organizations occur through this single hub: the Inlichtingenbureau. This prevents each municipality from having to exchange information independently, which would require them to establish and maintain their own infrastructure.

The AP has previously noted that a significant amount of information regarding, among others, benefit recipients is processed by municipalities through the Inlichtingenbureau in these domains.¹ This involves not only a large volume of data but also many sensitive data, often concerning citizens in vulnerable positions.

¹ Letter dated November 25, 2021, from the AP to VNG (z2021-00946).

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The background of the submitted part of the draft is the letter from the AP to the Minister of VWS dated May 30, 2018, in which the AP indicates that there is insufficient clarity regarding the responsibility for the processing carried out by the Inlichtingenbureau in the context of the Youth Act and the Social

Support Act (Wmo 2015). The Inlichtingenbureau could not act as a processor on behalf of individual municipalities where it performs its own tasks as an intermediary data hub, and the data processing exceeds the scope of the processing of the individual municipalities.² For the execution of its own tasks, the Inlichtingenbureau must have a legal basis.

Main advice

- From the perspective of clarity for the citizen, the government that performs the legal task should also be responsible for the related processing;
- The processing responsibility of the Inlichtingenbureau for processing related to the legal tasks of the municipality should therefore be limited to processing for which this cannot be otherwise, because they cannot be traced back to a specific municipality (municipality-overarching);
- The legal obligation to have processing carried out by the Inlichtingenbureau leads to less control for the involved governments. However, this does not mean that the governments themselves can no longer bear responsibility for the processing;
- Even a factual activity such as product development does not, in itself, lead to processing responsibility or the desirability thereof;
- The mere designation of the Inlichtingenbureau by the legislator as (in short) a mandatory service provider is not sufficient to assume processing responsibility;
- The AP advises limiting the assignment of responsibility to the Inlichtingenbureau to processing of a municipality-overarching nature and to carefully substantiate the overarching character of that processing for each processing.

Scope of the draft

The draft stipulates that certain forms of communication between the municipal executive boards and various organizations such as the SVB and CAK take place under the processing responsibility of the Inlichtingenbureau. This involves the transportation of messages related to the financial-administrative traffic between municipalities and care providers (for example, allocation, invoicing, and accountability). In addition, the Inlichtingenbureau provides additional services for the implementation of the Wmo 2015 and the Youth Act within the existing legal frameworks. This may include the so-called Wlz-register assessment, which identifies any overlap between Wlz care and social support, or the technical provision in the context of the place of residence principle in the Youth Act.³

² Case number z2016-12900.

³ Parliamentary documents II 2019/20, 35515, no. 3, par. 4.8.

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According to the explanation, this concerns services with a cross-municipal character that are utilized in the same manner by a large number of municipal executive boards.

Advice

The explanation states—referring, among other things, to the position in the letter from the AP from 2018—that individual and direct control by municipal executive boards over the manner of processing by the Inlichtingenbureau is not possible due to the nature of the involved processing; a role as merely a processor for the Inlichtingenbureau would therefore not be appropriate. Assigning a statutory task and thus processing responsibility to the Inlichtingenbureau itself is indicated.

The AP endorses that the role of a processor brings logical limitations and that the processing must be attributable to a processing responsible client. A processor processes solely for the benefit of a processing responsible party and can therefore only carry out processing that can be based on a lawful processing basis of a processing responsible party. If the public interest requires that more or

different processing must be carried out by that processor, legislation will indeed need to be created to assign the corresponding task to that processor itself.

In this context, however, caution is required, especially when it comes to processing that is of great importance to citizens and is so closely related to processing by the municipality that it will almost be seen by them as a matter of course as processing by their municipality. It is evident that it is of great importance for the citizen to understand who is responsible for the processing concerning him or her and with whom he or she can therefore turn to exercise important rights such as access, correction, etc. It is therefore crucial to carefully consider whether it indeed concerns processing that can no longer be seen as processing commissioned and for the benefit of the municipality, so that it is truly necessary to transfer responsibility to an entity unknown to citizens, such as the Inlichtingenbureau.

This aspect was insufficiently addressed in the earlier letter from the AP from 2018. As a result, the impression may have been created that the AP generously welcomes the 'transfer' of responsibilities from municipalities to the Inlichtingenbureau itself or as broad as possible 'own' processing responsibility for the Inlichtingenbureau. This is not the case; if possible, processing responsibility should typically lie with the administrative body that also has the statutory task (e.g., providing benefits) and is the most immediate, logical point of contact for the individual concerned (in this context, therefore often the municipality). Viewed this way, it is also not logical to consider merely the transmission of messages for the execution of statutory tasks or obligations as a standalone statutory task (and thus basis). Precisely because that processing is carried out solely for the benefit of the municipalities.

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A complicating factor here is that the relationship between the municipalities and the Inlichtingenbureau is characterized in many cases by 'forced shopping'. The processing takes place in the execution of municipal tasks and thus for the benefit of those municipalities. Normally, the municipality is and remains the data controller for this purpose, which can outsource the actual actions necessary for its execution - the processing itself - to a processor if desired. However, in this context, the legislator has already determined that the municipality must outsource the processing, specifically to the Inlichtingenbureau. This significantly restricts the normal control that a data controller would have; stopping the outsourcing, outsourcing to another party, or tendering or negotiating a customized package is no longer possible. Although the processing by the Inlichtingenbureau still needs to be regulated in an agreement, it is likely that there will be little to no customization involved. It is true that this comes at the expense of direct and individual steering by municipalities and thus the extent to which the individual municipality can fulfill its data controller responsibilities, but this is a logical consequence of the legislator's choice to determine this form of service centrally for the municipalities.

In the opinion of the AP, it does not follow from this that the processing in question is or should be considered as 'own' processing by the Inlichtingenbureau itself. On the contrary. It is still the municipality that utilizes the service 'executing message traffic' from the Inlichtingenbureau for the execution and benefit of its statutory task. Processing that is actually carried out by the Inlichtingenbureau will largely be traceable to messages from and/or to specific municipalities or other authorities via the Inlichtingenbureau. From this perspective, it is still insufficiently clear in what respect there is precisely a matter of concrete processing with a character that transcends the municipality.

Due to the central role of the Inlichtingenbureau, it is conceivable that the Inlichtingenbureau will also develop new products. These products may only be used if there is a legal basis for them among the 'customers' of the products, primarily the municipalities. Possibly redundantly, the AP points out that product development in itself does not entail data controller responsibilities, even if the product is complex and important design choices are made that will later affect the manner of processing. It is,

after all, the party that decides to actually use the product for its processing that bears the responsibility for it. And those processing activities must also be covered by the processing agreement before such a new product can be utilized.

The AP is therefore not yet convinced that the explanation can support the conclusion that the processing in question - executing message traffic - is inherently transcending the municipality. The control that municipalities have over the processing is unusually limited for a data controller due to the 'forced shopping'. This does not seem to be a consequence of the nature of the processing but (mainly) a (desired) consequence of choices made by - and thus the responsibility of - the legislator. And the legislator is, of course, free to do so. However, this is not a reason to assume that rights to correction, access, and the like - important for the data subject - should henceforth be exercised not against the familiar local municipality but at the relatively unknown Inlichtingenbureau.

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The AP advises that the assignment of data controller responsibility to the Inlichtingenbureau should be strictly limited to processing of a municipality-transcending nature and that the transcending character of each processing should be carefully substantiated.

Workload of the AP

The AP notes that the draft is not expected to require additional effort from the AP.

Publication of the advice

This advice will be published on the AP's website within two weeks and sent in copy to the Minister of SZW.

Yours sincerely,

Authority Personal Data,

Aleid Wolfsen

Chairman